Motive Offshore Group

Pipeline Builder

May 2024

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Current Sales “Funnel”

Problems with current process

- No control/understanding of sales process by Op owners. Everyone has a different idea of “buckets” Terminology set is not actually adhered too
- Everything is dumped into Prospect
- Project Lead is not used – lack of understanding on this early stage.
- Project lead terminology is not defined.
- Close date a guess and only pushed out when date is passed
- Lack of confidence in pipeline enquiries
- Fear of moving enquiries through sales funnel
- Closed by dates not accurate or understood
- Knowing the % per 'bucket’
- Weighted pipeline different for each region and division
- Various ideas of "expected close date"
- Once secured. No notification that order has been confirmed.
- (Time taken from PO land to Order Confirmed too long. No way of monitoring which orders are under contract review?

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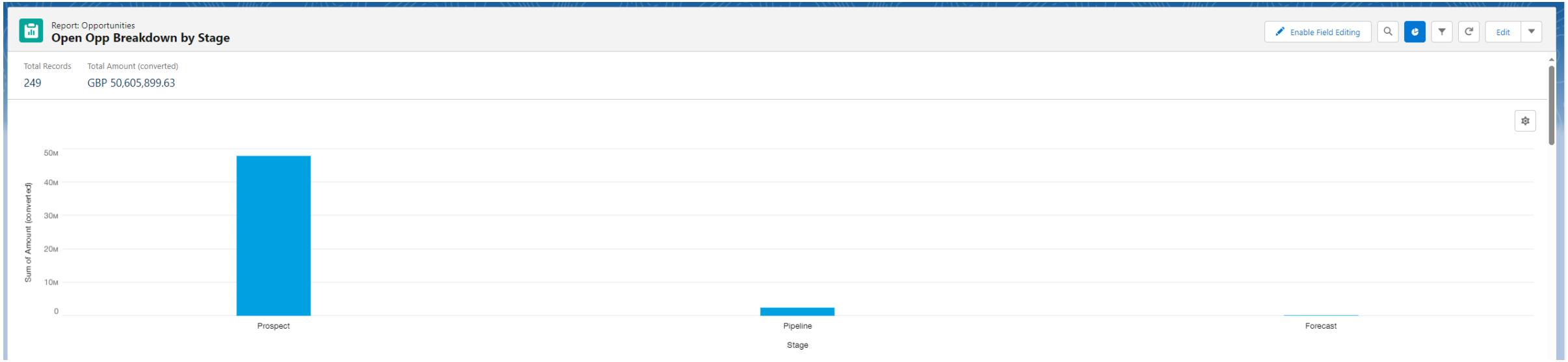
Current Sales “Funnel”

Problems with current process



Sales PIPELINE Solutions

We propose to better our sales results by offering -

- Correct allocation of resources involving a rating system developed to make sure best quality enquiries receive the right amount of attention
- Better all-round terminology - Sales Pipeline not Funnel
- Defined steps inside an individual enquiry giving clear understanding of where we are with an enquiry and its progression
- More confidence and ownership of our own actual enquiries
- Understanding of enquiries likelihood to convert
- Better revenue predictions

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New Sales Pipeline -

Solutions and New Rules

Project Lead – tenders, little info RFQs, budgets proposals outside 18 months, to be quoted enquiries

Quoted– Proposal sent and project within 18 months. No formal clarifications have taken place. Stage 1 Completed.

Negotiation – Meaningful discussions, knowledge of operation and buying process. Stage 2 of the sales Pipeline completed

Closing – continued progressive dialogue and significant conversations/revisions with a known award date – Stage 3 of the sales Pipeline completed

Forecast – Confirmation verbally or in writing that you are chosen supplier. Motive will be awarded this scope, but no Order Confirmation sent.

Each enquiry is scored with a likelihood of closing deal as per next slide .

E.g. You can complete 75% of the sales process but still feel it is unlikely to convert to a PO therefore score it low

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Working Example of New Sales Pipeline

New Sales Pipeline has 6 stages, to move the opportunity along the Pipeline the below questions must be complete

Project Lead	Quoted	Negotiation	Closing	Forecast	Lost/Won
RFQ/ITT Received. Also bid for a bid 0%	Stage 2 Sales process has been completed	Stage 3 sales process has been completed	Stage 4 sales process has been completed	Stage 5 sales process has been completed	All of stages completed of sales process has been completed and project is now with Operations

To get to Quoted

Do you judge that this opportunity is worthy of the resources of the company (time or financial) to progress through the sales cycle?
Who are your competitors (if any)?
Are we able as a company to fulfil this order?

Criteria above registration details that must be filled in for it to move into quoted –

- **Date quoted**
- **Mob date**
- **Value (Estimate ok at this stage)**
- **Rental/Contract Length**
- **Vessel/Project Name**
- **Rating of Opportunity**

To get to Negotiation

Have you delivered a proposal to the client and started meaningful discussions with decision makers?

Do you understand the client's decision-making process? Details of the project Team we are working with?

Are you aware of any objections or concerns the client may have? If so, is it possible to overcome these?

To get to Closing

Are you are dealing with the decision maker and have clearly demonstrated that your proposal matches their drivers and needs?

Does our contact have authority to sign the contract and proceed with budget to pay for the service being discussed? Do we know the BUDGET value?

Do you have firsthand understanding of the customer's buying process and timescales?

Has a timeframe for the delivery been confirmed?

Do you have agreed Ts&Cs or any concerns over getting these agreed?

To get to Forecast

The client ruled out all competitors and expressed a expressed a definitive indication that they are to proceed?

To get to Won

PO received
Purchase Order Review Completed
Operations KO meeting complete

DOES THIS HAVE A FRAMEWORK/Call off OR FROM A LONG TERM CONTRACT – Y/N

Current Weighted Pipeline

Weighted FC			Motive UK	Motive MENA	Motive APAC	Motive Norway	Motive USA
Note: Backlog excludes all stages other than Forecast & Secured (100%)			UK	MENA	APAC	Norway	USA
Rentals	Forecast	RentalsForecast	100%	100%	100%	100%	
Rentals	Pipeline	RentalsPipeline	38%	20%	20%	25%	
Rentals	Prospect	RentalsProspect	38%	20%	20%	25%	
Rentals	Project Lead	RentalsProject Lead	0%	0%	0%	0%	
Rentals	Secured	RentalsSecured	100%	100%	100%	100%	
Engineering	Forecast	EngineeringForecast	100%	100%	100%	100%	
Engineering	Pipeline	EngineeringPipeline	22%	10%	35%	20%	
Engineering	Prospect	EngineeringProspect	22%	10%	35%	20%	
Engineering	Project Lead	EngineeringProject Lead	0%	0%	0%	0%	
Engineering	Secured	EngineeringSecured	100%	100%	100%	100%	
Spooling & Inspection	Forecast	Spooling & InspectionForecast	100%	100%	100%	100%	100%
Spooling & Inspection	Pipeline	Spooling & InspectionPipeline	79%	53%	46%	60%	81%
Spooling & Inspection	Prospect	Spooling & InspectionProspect	79%	53%	46%	60%	81%
Spooling & Inspection	Project Lead	Spooling & InspectionProject Lead	0%	0%	0%	0%	0%
Spooling & Inspection	Secured	Spooling & InspectionSecured	100%	100%	100%	100%	100%

Final Weighted Pipeline Criteria -

Factors to consider when making your decision on progress ;-

- Are they a Tier Client?
- Do we have a track record with them?
- Is it a bid for a bid or has the client confirmed they have won the project work?
- Have we delivered a similar service in the past?
- Are you dealing with the decision maker or someone who has influence on the final decision?
- Is the solution offered in line with the client request?
- Are we technically qualified?
- Are we in line with their project budget?
- Do we offer a better solution, better pricing, more timeous delivery, any other factors over competitors?
- Do they have any outstanding payment issues with MOG in any location?
- Do we have any previous issues that could affect their decision?
- Are there any potential stumbling blocks with Terms & Conditions?

0% - Earliest stage in the Weighted Pipeline Scoring, the opportunity has been registered but you are at the start of your data gathering journey and have no intel on likelihood of award.

25% - Hopeful. Trending in a positive direction but no clear indicating factors that it's to be awarded to Motive. You will have spent time or had solid communication with the client by this stage.

50% - An even likelihood of succeeding or losing. You have presented the best possible MOG solution and have gathered feedback on your offer.

75% - Very strong possibility and barring any outside factors Motive will be successful. Terms and Conditions should have been presented and discussed by this stage and any hurdles should be overcome or have a plan to do so.

90% - It's in our hands and is Motive's to lose. Barring any disasters PO will follow ASAP. You should have had a verbal or written communication that the client intends to award it to MOG.

<u>PROJECT LEADS don't get a grading and FORECAST is classified as 100%</u>

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Worked Example of New Sales Pipeline

MOGR/24/0924 – Subsea7 – Rental of 10te Tensioner
https://motiveoffshore.lightning.force.com/lightning/r/Opportunity/006Vg000004BUuvIAG/view

Current Stage

Pipeline with a close date of 01.05.2024

Reality

"In 3rd round of clarifications talking about availability of kit and COF with product. We have received a deck layout from client with our tensioner on it."

New Stage

Closing – 75%

GROUP STRATEGY

CREATING BUSINESS VALUE

By focussing our Marketing, Business Development and Sales efforts on areas that drive better value for MOG, we can have a material effect on the how the business performs.

By focussing our energies in; -

- Renewable Projects
- Long Term Maintenance Contracts
- Long Term Inspection Contract
- Longer Term Rental Projects
- Developing our offering in developed, stable geographies

We can create more value for our business.

Multiples: Rule of thumb => H 10x – 15x M 7x – 8x L c.5x

Area		Multiple	Rationale
Sector	Renewables	H	Long term, committed investment by governments and major energy companies; supports ESG agenda thereby attracting greater financing. For Motive, contracts tend to be longer and generate similar margins
	Subsea utilities & Civils	M	Growing area with limited cyclicality
	Oil & Gas	L	Cyclical industry which has 'burnt' banks and investors before; not aligned with the ESG agenda; forecast to decline in the long-term
Lifecycle	Maintenance	H	Recurring, non-discretionary spend
	Decommissioning	M	Strong pipeline and aligned with the ESG agenda; timelines are prone to being pushed out as there is no value for the operator
	New Build	M / L	Project based (i.e. not recurring) and can be delayed or cancelled
Divisional	C&I	H	Recurring, non-discretionary spend, multi-year contracts
	Rental	H / M	Typically, long-term rental, providing good visibility and consistent and regular payments
	Engineering	M / L	Effectively project work; helpful working capital profile with milestone payments
Geography	Multiple	H	Diversifies risk; which geography matters - Western countries are more investable (esp. the US)
	Single	L	Single point of risk

Proposal/Quote Resources Initial Ideas

Criteria

5 star – Tier 1 client, Renewables, Budget to place, ***high multiple**** , value over 500k , historic conversion rate at X%

Action – Full proposal, designated Project Team, Design and marketing support, Exec Team support

4 star – Tiered Client, stock equipment/personnel, **m/h multiple***, value over 250k, historic conversion rate at X%

Action – Full proposal, drawing packs created, leadership team involvement

3 star – T2/3, bespoke kit but feasible, **m multiple***, value over 50k , historic conversation rate at X%

Action – budget proposal, spec sheets and sales follow up

2 star – T3 client, basic equipment spread,

Action – sales engineer follow up, basic spec or drawing ideas

1 star – New client with no track record, No data, years away,

Action – sales admin email price and a drawing

Star Rating Calculator.xlsx (sharepoint.com)

Salesforce can't tell us at quote registration stage

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5 * Grade System

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‘’’’’’’’

Quote Templates

Quote levels

Simple – 1 pager/ email

Standard – General document, used most

Advanced – more data and input

Opportunity Ratings

Opportunity
MOGI/24/0010 (Prospect) ★★★★☆

Opportunities
4 Star Open Opportunities

15 items • Sorted by Division • Filtered by All opportunities - Closed • Updated a few seconds ago

	Opportunity ...	Ratings Ima...	Accoun...	Stage	Division	Date Quoted
1	MOGI/24/0008	★★★★☆	Test Client	Prospect	Umbilical Testing	
2	MOGR/24/0013	★★★★☆	Test Client	Prospect	Rentals	
3	MOGR/24/0001	★★★★☆	Test Client	Prospect	Rentals	
4	MOGS/24/0003	★★★★☆	Test Client	Prospect	Rig Service	
5	MOGM/24/0007	★★★★☆	Test Client	Prospect	Manufacturing	
6	MOGM/24/0006	★★★★☆	Test Client	Prospect	Manufacturing	15/01/2024
7	MOGM/24/0005	★★★★☆	Test Client	Prospect	Manufacturing	15/01/2024
8	MOGM/24/0004	★★★★☆	Test Client	Prospect	Manufacturing	15/01/2024
9	MOGM/24/0003	★★★★☆	Test Client	Prospect	Manufacturing	
10	MOGM/23/0002	★★★★☆	Test Client	Prospect	Manufacturing	
11	MOGM/23/0001	★★★★☆	Test Client	Prospect	Manufacturing	

Visual indicators enhance display of star rating. Filtered Opportunity list views with visual indicators provide easier identification for users.

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